

The Core Principle:

If it's trust money, it touches nothing but trust accounts.

If it's personal money, it stays in personal accounts.

Six Separation Rules

☐ **Rule 1 — Separate Bank Accounts**

- Trust has its own checking, savings, and investment accounts
- Account titled: "[Trustee Name], Trustee of [Trust Name], dated [Date]"
- NEVER just "John Smith" — the title format matters in court

☐ **Rule 2 — Separate Credit Cards**

- Trust uses its OWN credit card for trust expenses
- NEVER use a personal card with "I'll pay myself back"

☐ **Rule 3 — Separate Bookkeeping**

- Trust income and expenses in the trust's ledger
- Personal income and expenses in the personal ledger
- Never the same QuickBooks file. Never the same spreadsheet.

☐ **Rule 4 — Separate Tax IDs**

- Trust has its own EIN from the IRS
- File Form 1041 for the trust, Form 1040 for yourself
- Never use your personal SSN for trust transactions

☐ **Rule 5 — Separate Physical Property**

- Real estate: deed says trust owns it
- Vehicles: title says trust owns it
- If it's a trust asset, the trust's name is on the paper

☐ **Rule 6 — Separate Records**

- Trust documents in a trust file
- Personal documents in a personal file
- Never intermingle record-keeping

The "MUST Document" Protocol

When you absolutely must cross the line between trust and personal:

1. Write a memo AT THE TIME of transfer
2. Include: date, amounts, account numbers, purpose
3. State clearly: "This is a temporary transfer" with the return timeline
4. Get co-trustee signatures
5. Execute on exactly the stated timeline
6. Document the return transfer with the same detail

THE MONTHLY CHECK — 5 Minutes

A quick-reference verification checklist to run every month:

- ☐ Verify that NO trust funds are in personal accounts
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- ☐ Review last month’s trust transactions — flag any that came from or went to a personal account
- ☐ Review any reimbursements — were they documented BEFORE the expense?
- ☐ Check account titling — are all accounts still in the proper trust name?
- ☐ If a beneficiary or the IRS asked for an accounting TODAY, could you produce clean records within 48 hours?

One line that prevents more lawsuits than any other:

“Verify that no trust funds are in personal accounts and no personal funds are in trust accounts.”

Why This Matters

- Commingling is the #1 way trustees lose lawsuits from beneficiaries.
- Even accidental mixing creates a paper trail that looks suspicious.
- The 5-minute monthly check catches problems before they become crises.
- Clean separation = ironclad protection for both trustee and beneficiaries.

Quick Reference: Trust vs. Personal

Trust Account	Personal Account
Titled in trust name	Titled in your name
Uses trust EIN	Uses your SSN
Files Form 1041	Files Form 1040
Trust credit card only	Personal credit card only
Trust ledger/bookkeeping	Personal ledger/bookkeeping